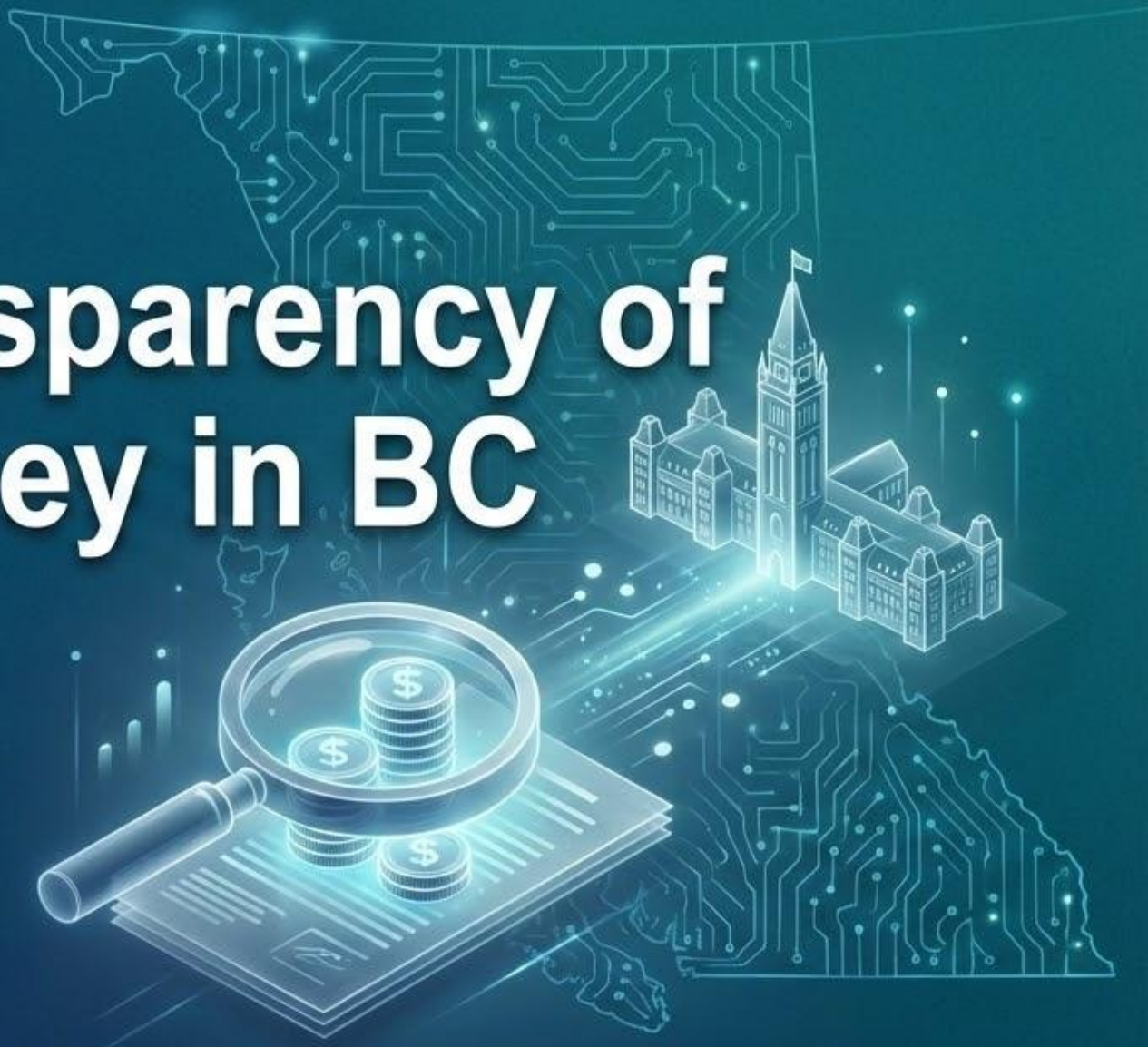
Fiscal Transparency of Tax Money in BC



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(MADS-092025)

Problem Statement:

https://www.bcbc.com/insight/where-does-taxpayers-money-go-its-hard-to-say-canada-and-b-c-governments-receive-failing-grades-on-fiscal-transparency

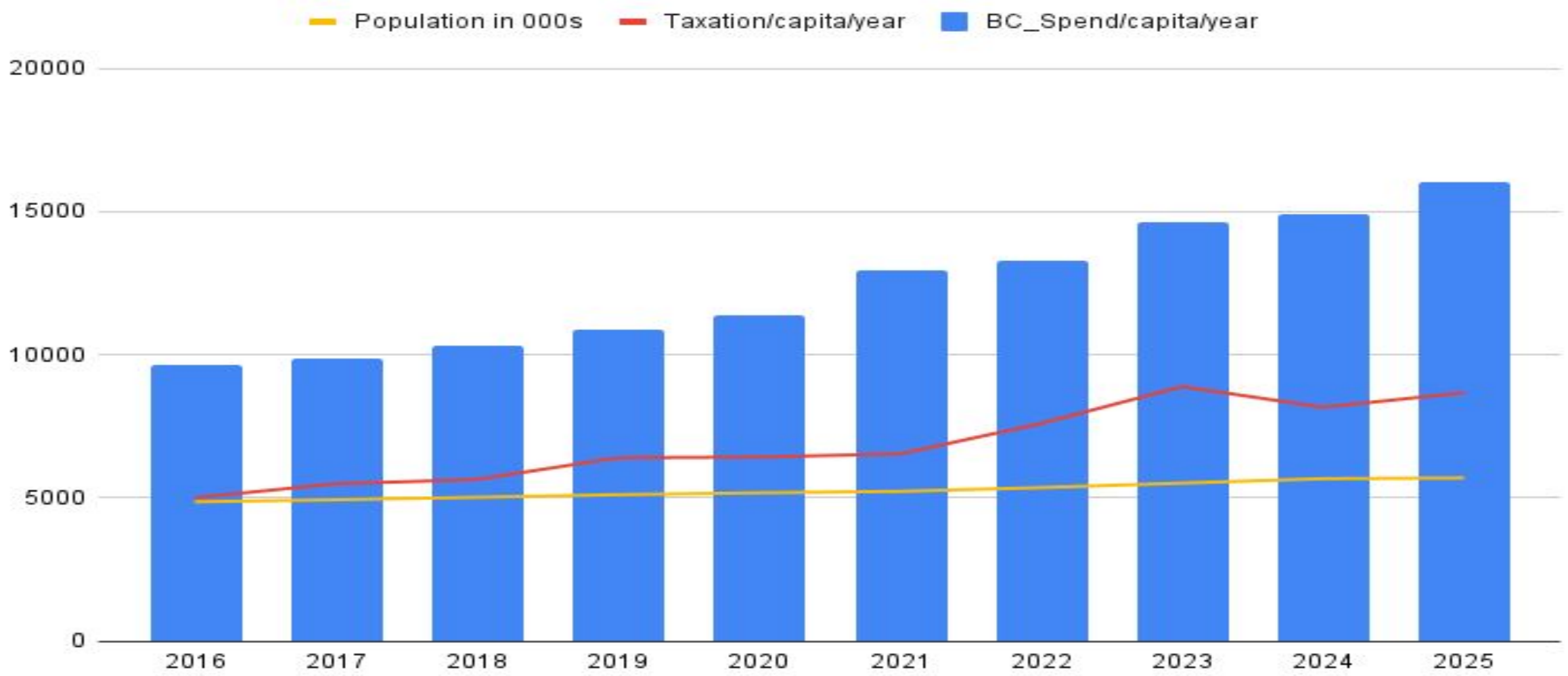
CANADA AND B.C. GOVERNMENTS RECEIVE FAILING GRADES FOR FISCAL TRANSPARENCY

Government	2019	2020	2021*	2022
Federal	B+	B-	F	D+
British Columbia	A-	A-	B	D
Alberta	A	B-	A-	A
Saskatchewan	B	A-	B+	B+
Manitoba	D+	C	D-	D
Ontario	B-	B	C+	B
Quebec	C	C	C	B-
New Brunswick	A+	A	B	B+
Prince Edward Island	C	C-	C-	C+
Nova Scotia	B-	B	B-	C
Newfoundland and Labrador	C+	C	D+	D+
Yukon	B-	D+	B+	A-
Northwest Territories	F	D-	C	D
Nunavut	F	D-	B+	B+

Note: Grades for 2021 use the authors' 2022 grading methodology.

Source: Robson and Dahir (2022)

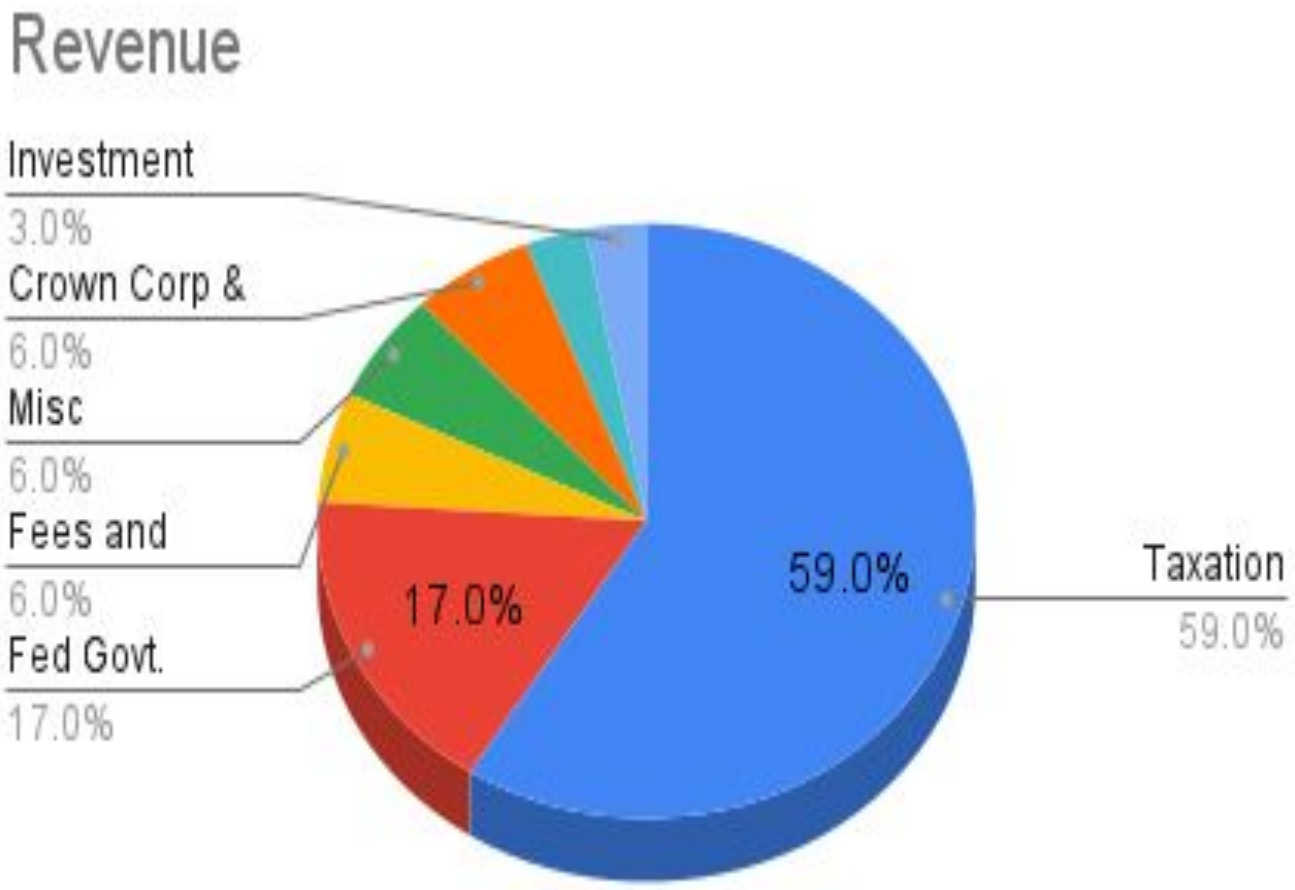
B.C population has increased from **4.86 million to 5.70 million** over the last 10 yrs, but not everyone contributes to income tax. Although adults make up roughly **85% of the population**, only **65% of adults** (about **3.7 million people** in 2025) actually pay income tax. This means only about **55% of the total population** generates most of the province's tax revenue.



Sources of B.C. Government Revenue

Shows the revenue categories for E

- **Taxation: 59%**
- **Federal contributions: 17%**
- Fees & licenses: 6%
- Crown corporations: 6%
- Miscellaneous: 6%
- Natural resources: 3%
- Investment income: 3%



An Overview of B.C. Ministries

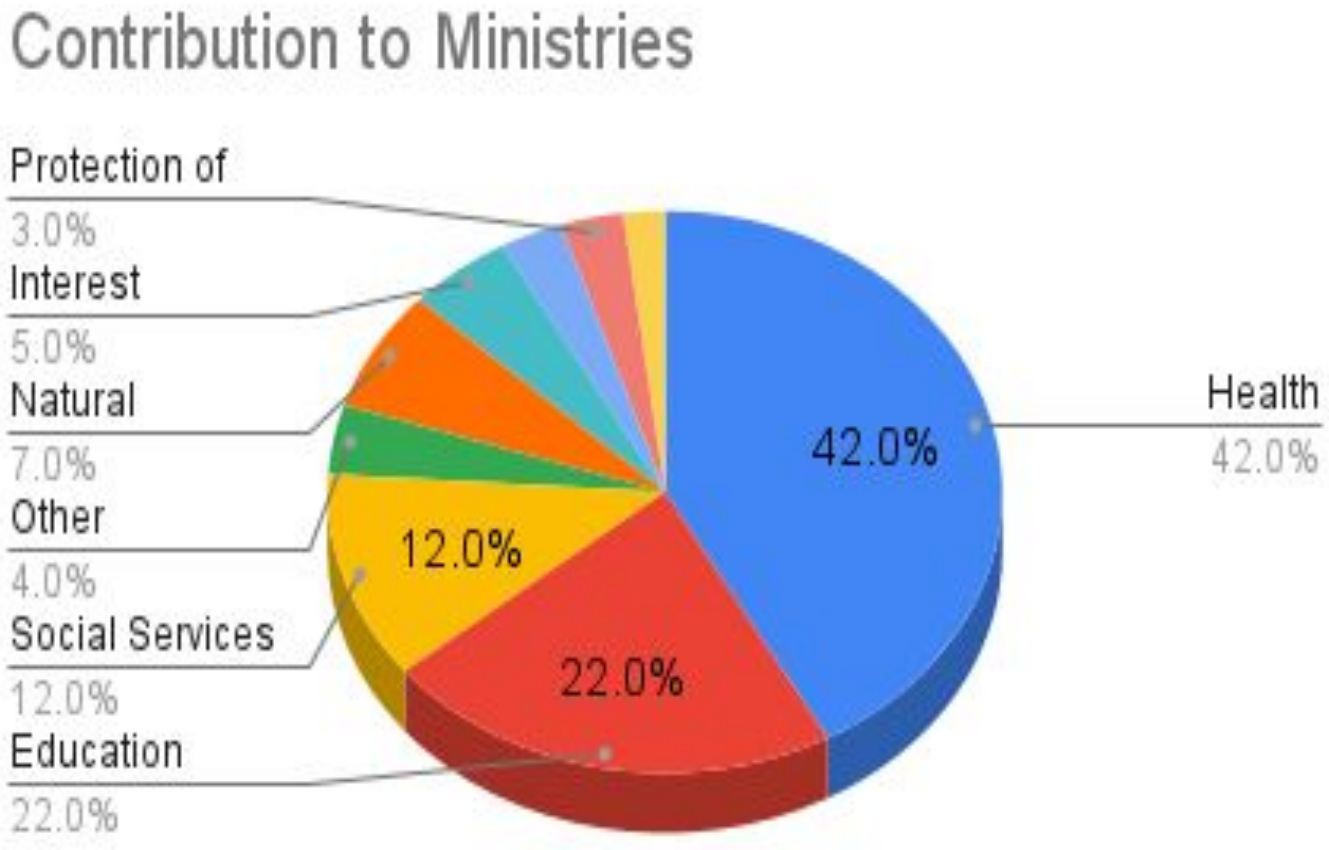
Category	Description	Examples of Ministries
Central Government & Finance	Core governance, legal, and financial functions of the province.	Office of the Premier, Ministry of Attorney General, Ministry of Finance, Management of Public Funds and Debt
Social Services & Health	Ministries focused on well-being, healthcare, education, and social support.	Ministry of Health, Ministry of Mental Health and Addictions, Ministry of Children and Family Development, Ministry of Social Development and Poverty Reduction
Education & Skills Training	Focus on K-12 education, childcare, and post-secondary institutions.	Ministry of Education and Child Care, Ministry of Post-Secondary Education and Future Skills
Economic & Infrastructure Development	Ministries supporting industry, jobs, transportation, and public works.	Ministry of Jobs, Economic Development and Innovation, Ministry of Transportation and Transit, Ministry of Infrastructure, Ministry of Agriculture and Food, Ministry of Mining and Critical Minerals
Environment & Natural Resources	Management of land, water, forests, environment, and climate initiatives.	Ministry of Environment and Parks, Ministry of Forests, Ministry of Energy and Climate Solutions, Ministry of Emergency Management and Climate Readiness
Public Safety & Citizens' Services	Law enforcement, emergency management, general services, and housing.	Ministry of Public Safety and Solicitor General, Ministry of Citizens' Services, Ministry of Housing and Municipal Affairs
Culture & Reconciliation	Initiatives related to tourism, arts, sports, and Indigenous relations.	Ministry of Tourism, Arts, Culture and Sport, Ministry of Indigenous Relations and Reconciliation

% of B.C. Spending by Category

These percentages reflect how the province allocates its **Total Expenses (~$91,393M)** in 2025.

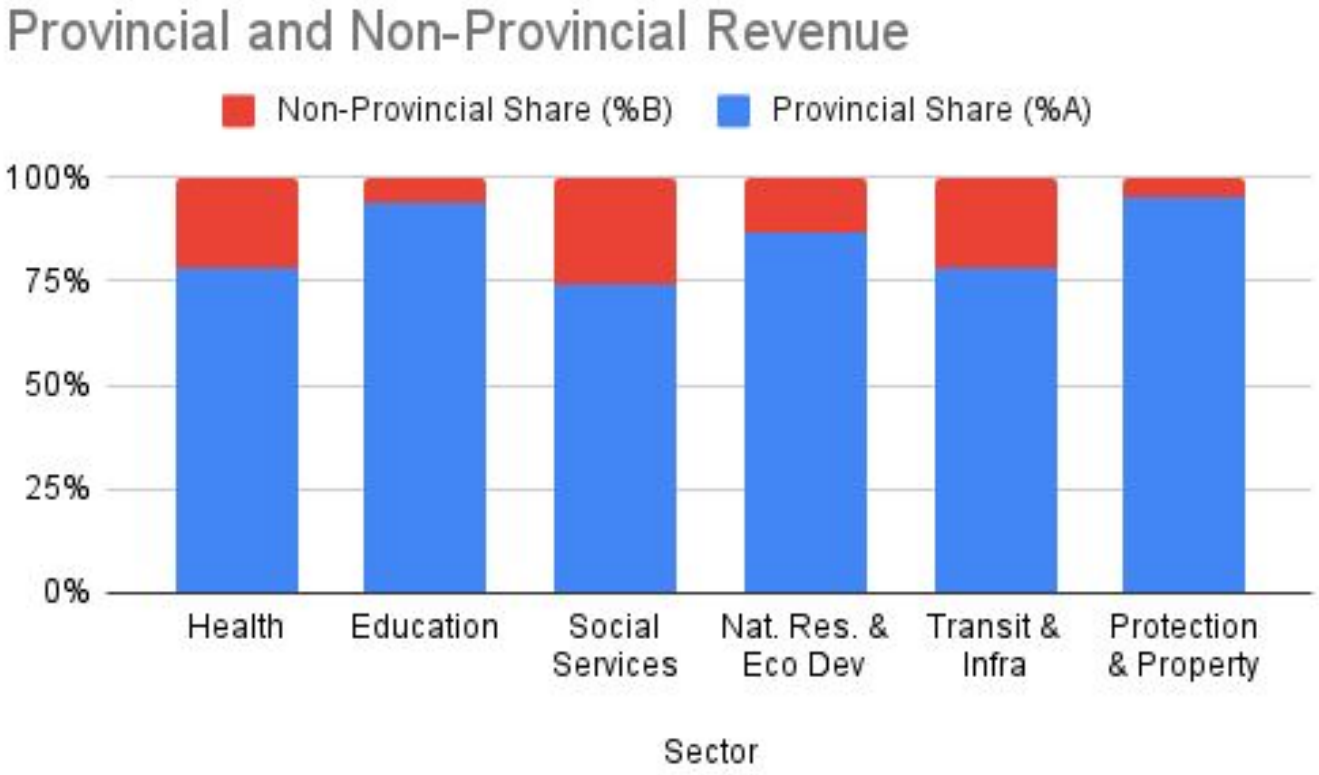
Shows how the BC budget is divided.

- **Health: 42%**
- **Education: 22%**
- **Social Services: 12%**
- Natural Resources & Economic Dev.: 7%
- Interest Payments: 5%
- Transportation: 3%
- Protection of Persons & Property: 3%



Provincial vs. Non-Provincial Funding

Sector Funding - 2025	Provincial	Non-Provincial
Health	78%	22%
Education	94%	6%
Social Services	74%	26%
Nat. Res. & Eco Dev	87%	13%
Transit & Infra	78%	22%
Protection & Property	95%	5%



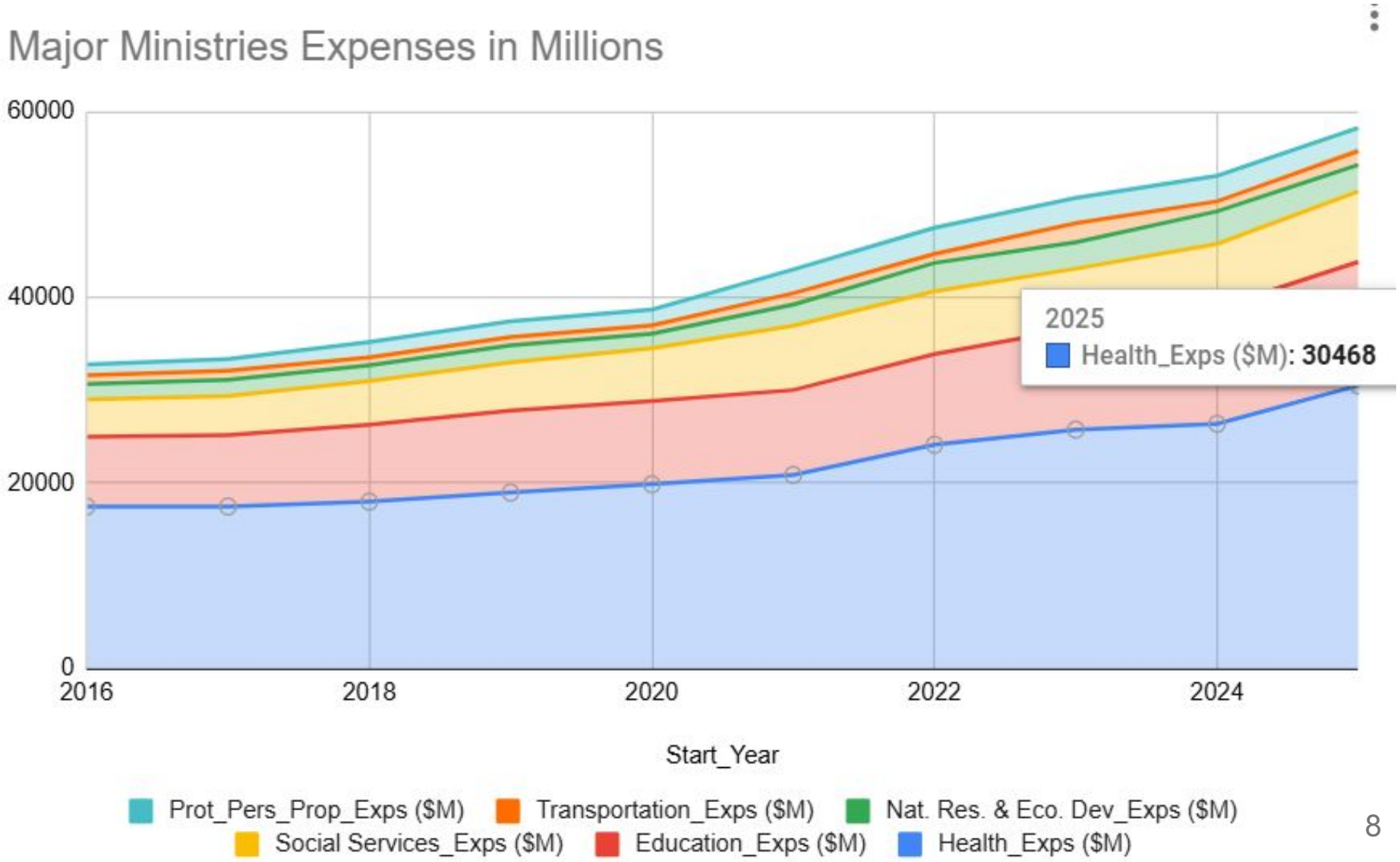
Expenditure Growth Trend (2016–2025)

Health Spending Increase:

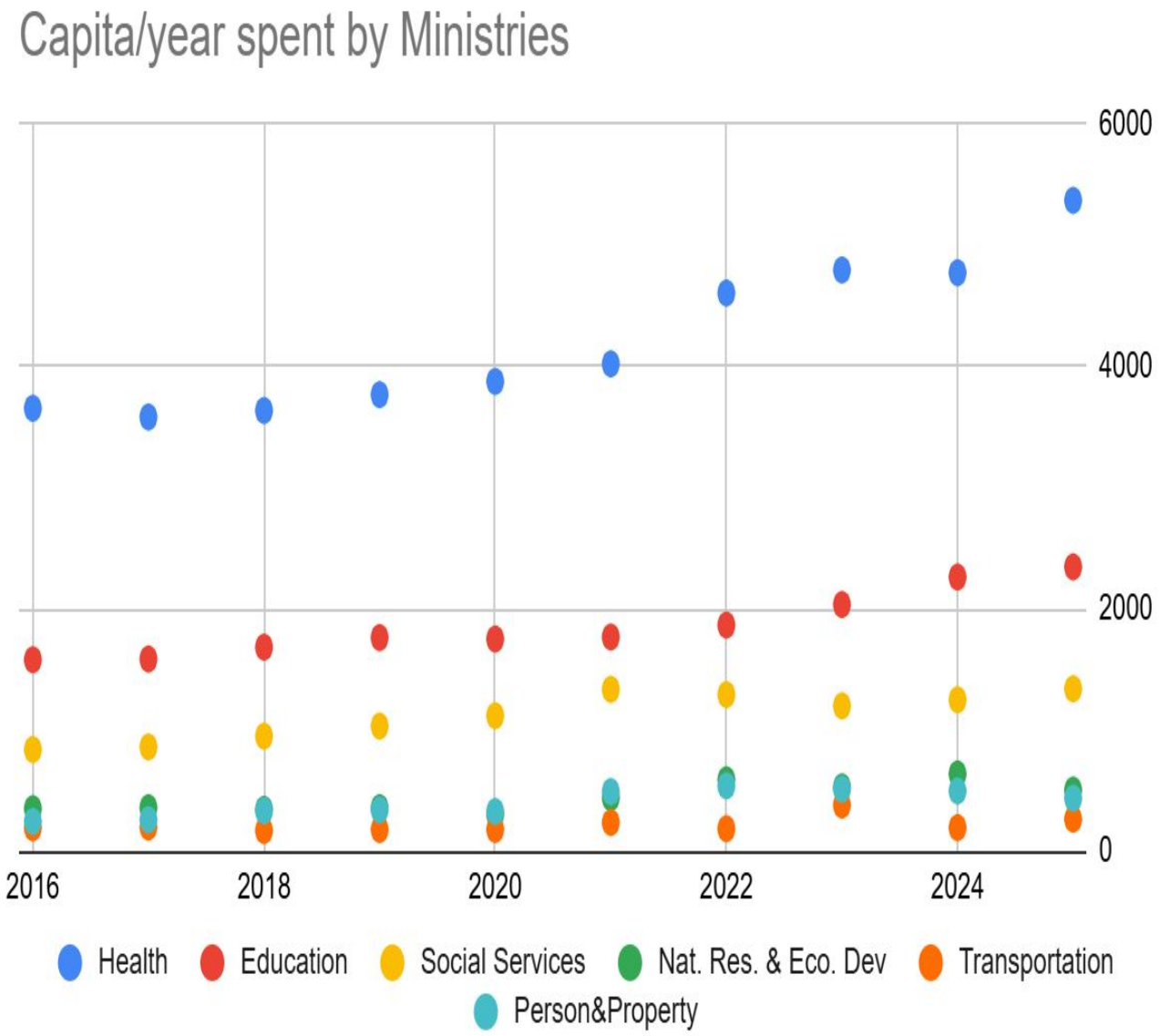
- 2016: **$17.42M**
- 2025: **$30.47M**
- Growth: **+75%**
- **Education Increase:**
- 2016: **$7.53M**
- 2025: **$13.31M**
- Growth: **+77%**

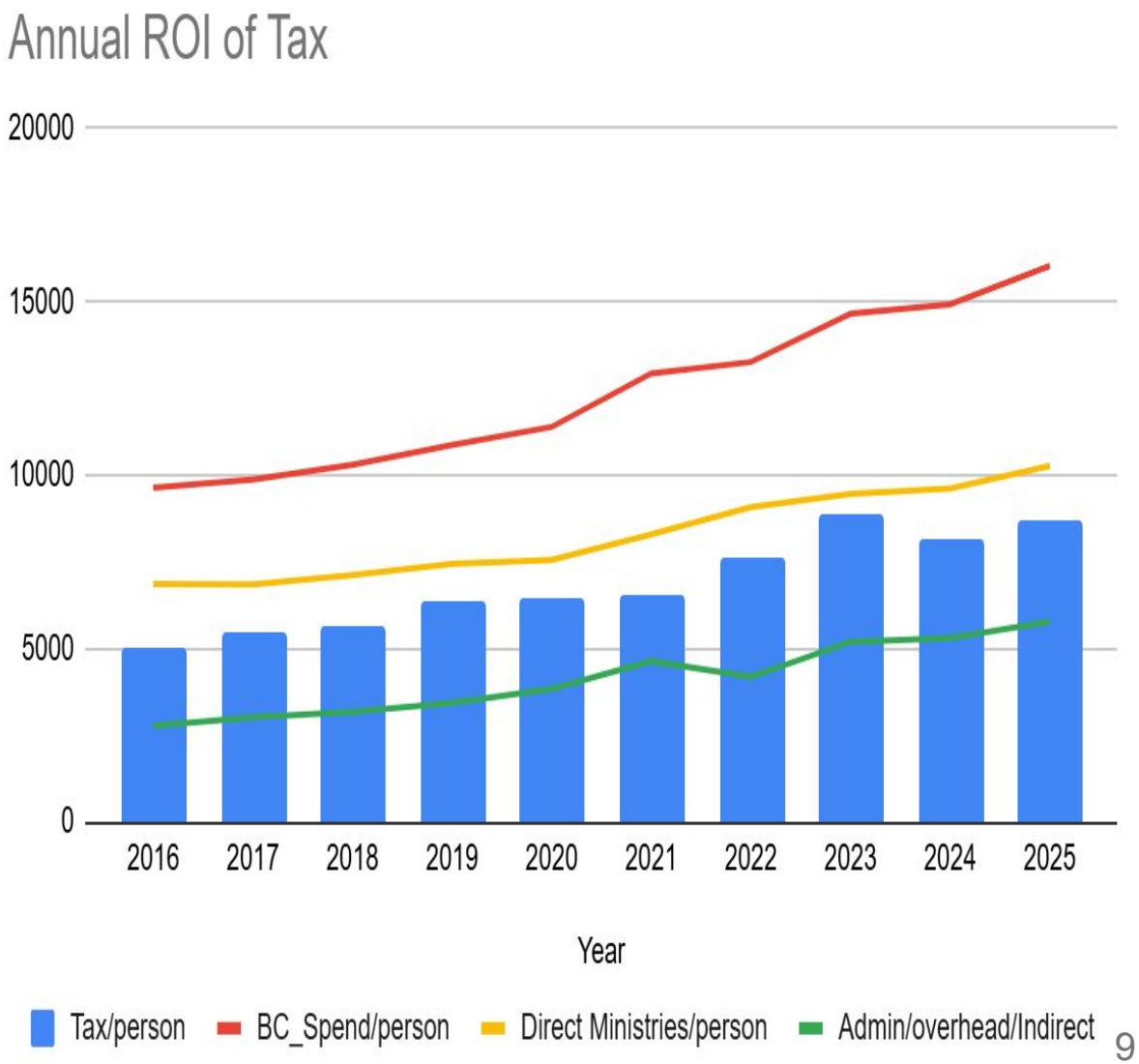
Primary Drivers:

➢ Population growth,
➢ an aging demographic,
➢ rising healthcare costs.

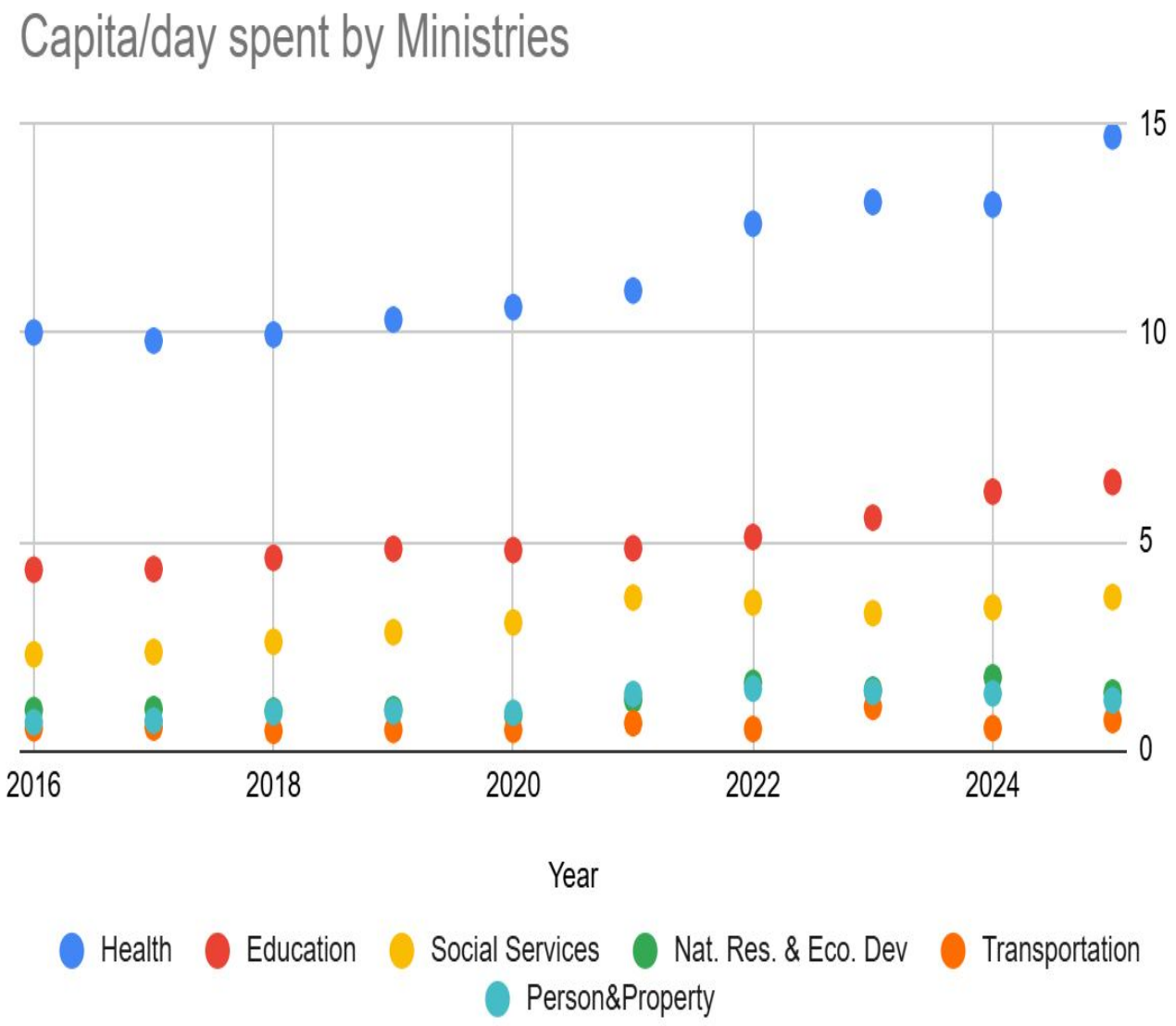


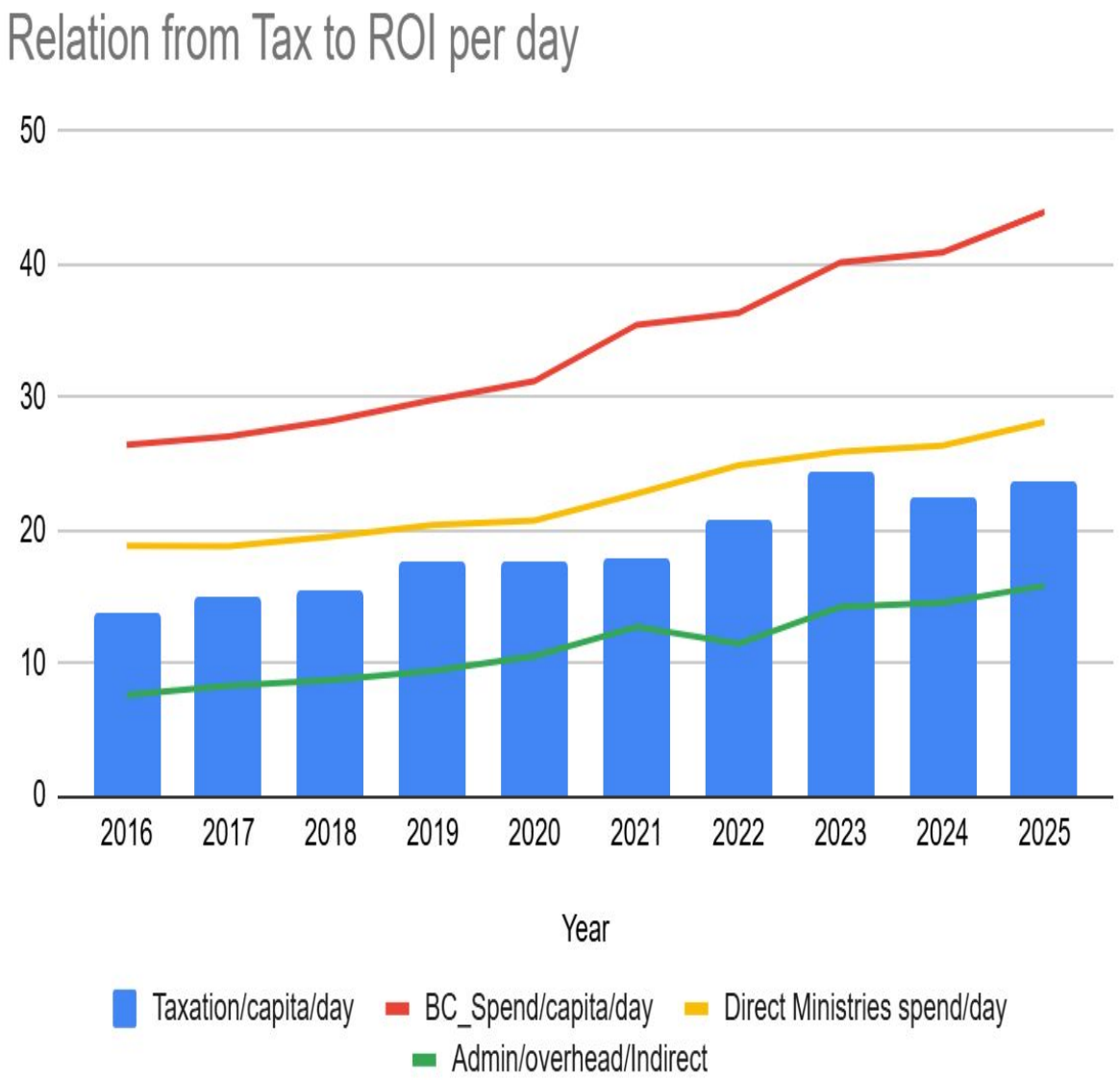
Annual Taxation and RoI wrt Ministries



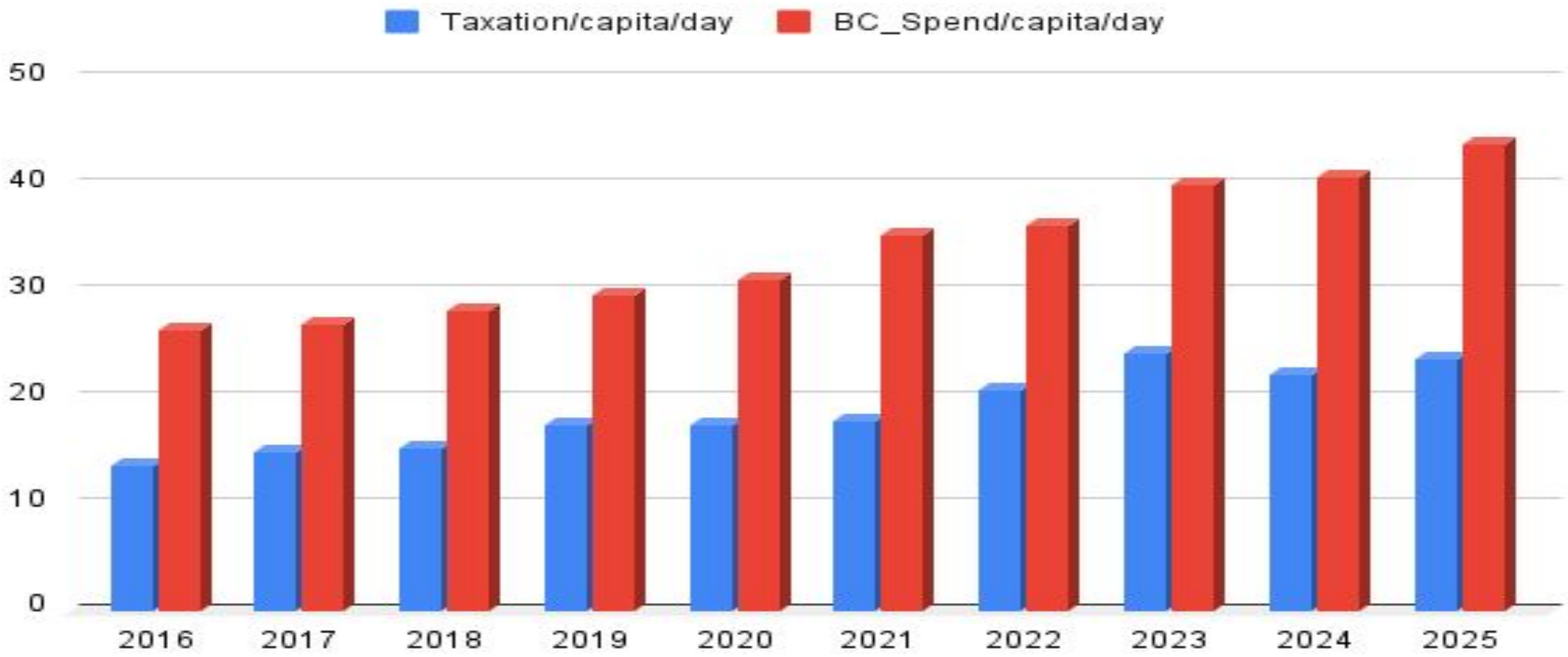


ROI of Tax per day





Per-Person Tax vs. BC Spending (daily)



References

- Open Government Data Source
  - Public Accounts - Province of British Columbia – for all financial information.
  - Statistics Canada - for population information

- For the real world problem:
  - Business Council of British Columbia's economic insights 2022.

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Points related to data

- Due to restructuring and reorganizing various ministries, the related annual financial summary was difficult to find.
- Cross-verified the data for consistency and used the exact amount found in the financial summary report.
- The quoted expenses from BC govt., and revenue from Ministries don’t always match, reporting of Non-Provincial revenue is not clear.

Conclusion!

- British Columbia saw steady population growth and only a moderate rise in taxation. However, per-capita government spending increased sharply and continuously, especially after 2019.
- Post-Covid impacts significantly amplified health care spending per person, widening the gap between spending and tax revenue by 2025.
- Resulting in a huge deficit and a projecting a taxation policy changes in the near future.
- The accurate reporting of revenue details of individual ministries will help gain society's trust on fiscal transparency of BC.